



Robinson #1

VAN ZANDT COUNTY, TEXAS



CONTENTS

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EXECUTIVE SUMMARY

ROBINSON #1 · VAN ZANDT COUNTY, TEXAS

Ferox Oil, LLC plans to drill a vertical well to a total depth of 8,900 +/- ft. in the Fruitvale Field area of Van Zandt County, Texas. The Cotton Valley and the Travis Peak are the primary targets, with production potential from as many as seventeen (17) proven oil and gas bearing formations in the area.

LOCATION

Van Zandt County, TX

WORKING INTEREST PER UNIT

1.0%

NET REVENUE INTEREST PER UNIT

.75%

TOTAL PRICE PER UNIT

\$45,000.00 · Drilling, Testing and Completion

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GEOLOGIST'S SUMMARY

CONSULTING GEOLOGIST & DRILLING SUPERINTENDENT REPORT

Summary

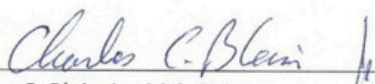
The Louann salt bed found in a horizontal evaporite deposit at approximately 15,000 ft. is the source of all the upward migrating salt in the form of salt domes. As this salt is squeezed by the weight of the over burden, it forms these salt domes that crack the over laying rock formation causing faulting ahead of it. These faulted formations create oil and gas traps above and off to the flanks of the domes.

These traps can be mapped and "sweet spots" identified where accumulation of oil and gas gather forming isolated reservoirs.

In the area around the Robinson lease, no drilling is on record that reveals these traps.

The potential for faults, traps and accumulations of isolated reservoirs oil, gas and water is very likely on the flanks of the adjacent Fruitvale Field. There are as many as seventeen (17) proven oil and gas bearing formations in the area with production potential possible from any or all of the formations.

The Cotton Valley and the Travis Peak are the primary targets with the most proven production from neighboring wells. However, the deeper Smackover is approximately 13,000 ft. hold the highest probable production with billions of MCF recorded production.


Charles C. Blair, Jr. M.S. P.G.
Consulting Geologist and Drilling Superintendent



Researcher



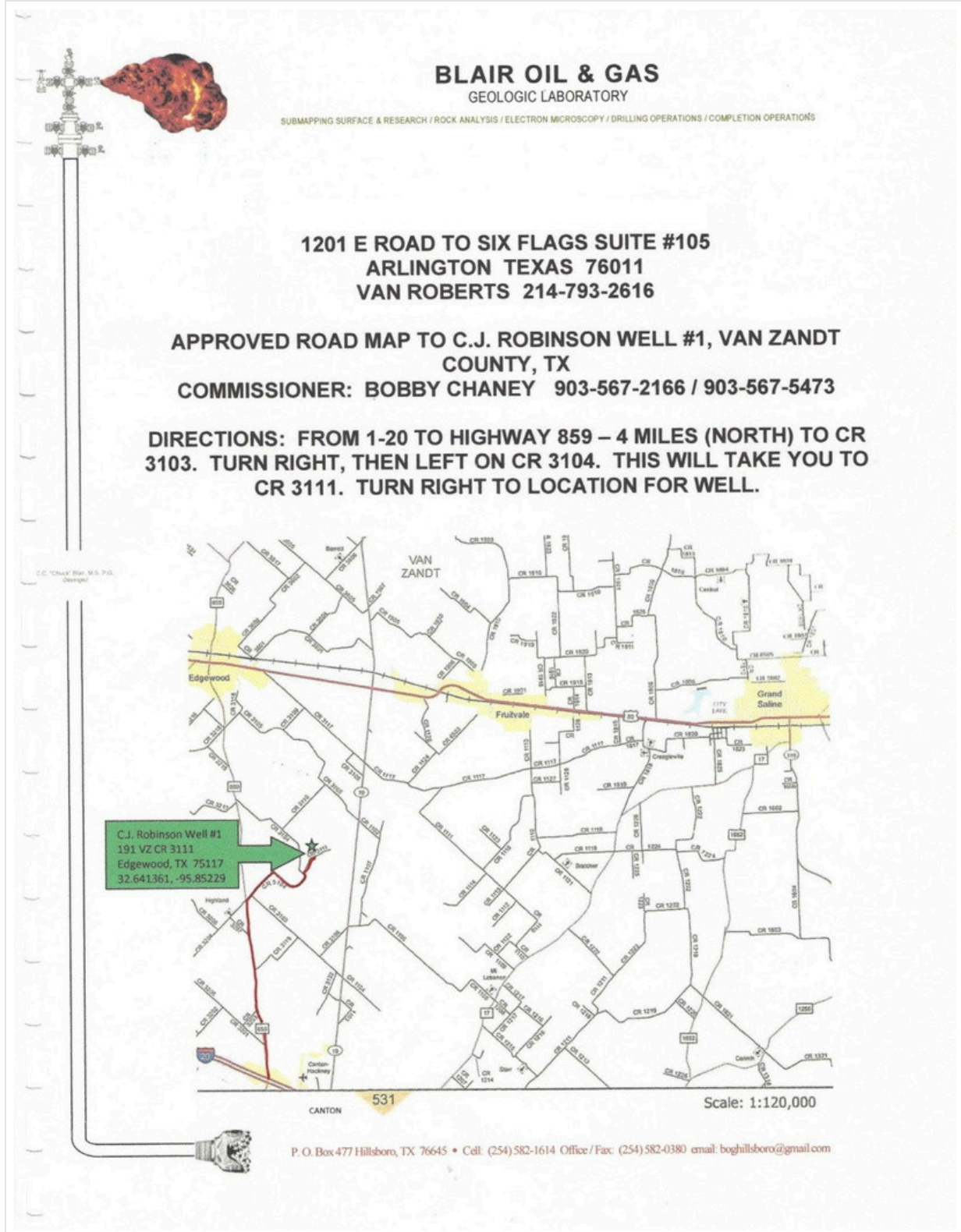
Charles "Chuck" Blair, Jr. M.S. P.G. is an independent geologist/consultant with over 45 years of geologic research. He is the past CEO of Blair Energy Corporation, CEO of EML and field company representative as well as a pusher and driller for Rowan Drilling International with assignments throughout the world. Mr. Blair holds a BS degree in Geology from Texas Tech University and Tarleton State University, with an MS degree from Tarleton State University specializing in sub surface structures with graduate work from Colorado School of Mines.

LOCATION

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SITE ACCESS MAP

C.J. ROBINSON WELL #1 · VAN ZANDT COUNTY, TEXAS

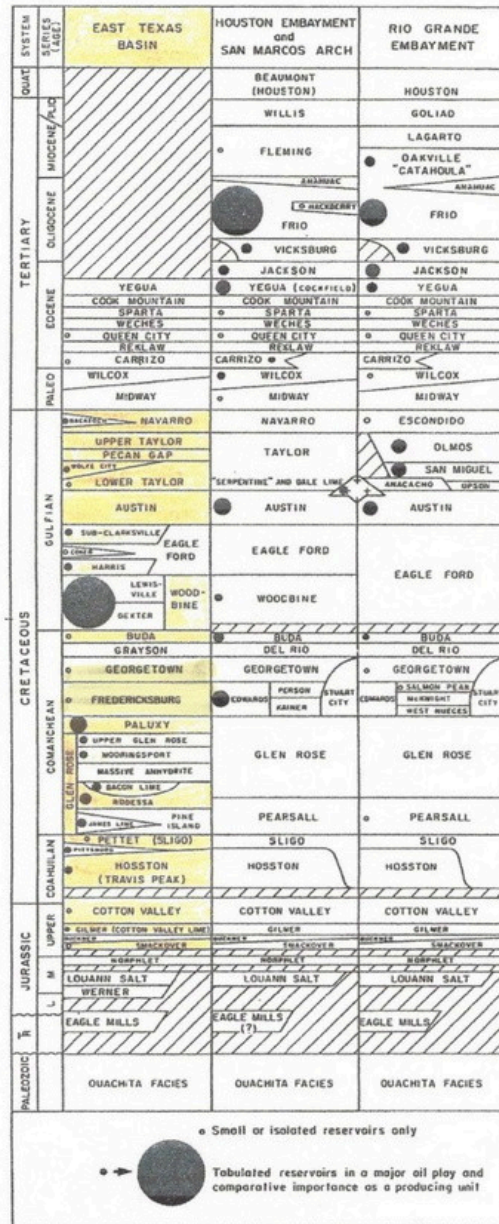


GEOLOGY

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PRODUCING ZONES

PRINCIPAL OIL-PRODUCING STRATIGRAPHIC UNITS · GULF COAST & EAST TEXAS BASINS



Patterns of hydrocarbon accumulation and subsequent production are strongly related to facies type, resulting in a wide range of recovery efficiencies. Reservoir genesis—the geological origin and nature of the producing zone—is an important factor in determining (and predicting) recovery efficiency in well-managed reservoirs (tables 2 and 3). Fluvial/deltaic, deltaic, and slope/basin systems each contained between 11.6 and 13.2 billion barrels of OOIP, yet estimated ultimate recoveries range from less than 1.0 billion barrels for slope/basin sandstones to 8.5 billion barrels for deltaic reservoirs. Weighted recovery efficiencies, which average 41 percent statewide for clastic reservoirs, range from a low of only 8 percent for the slope/basin group of plays to 68 percent for the deltaic group of plays (table 2). Weighted ultimate recovery efficiencies of oil from the carbonate plays range from 26 percent in the unconformity-related play to a high of 50 percent in the three deep-water atoll and pinnacle-reef plays (table 3).

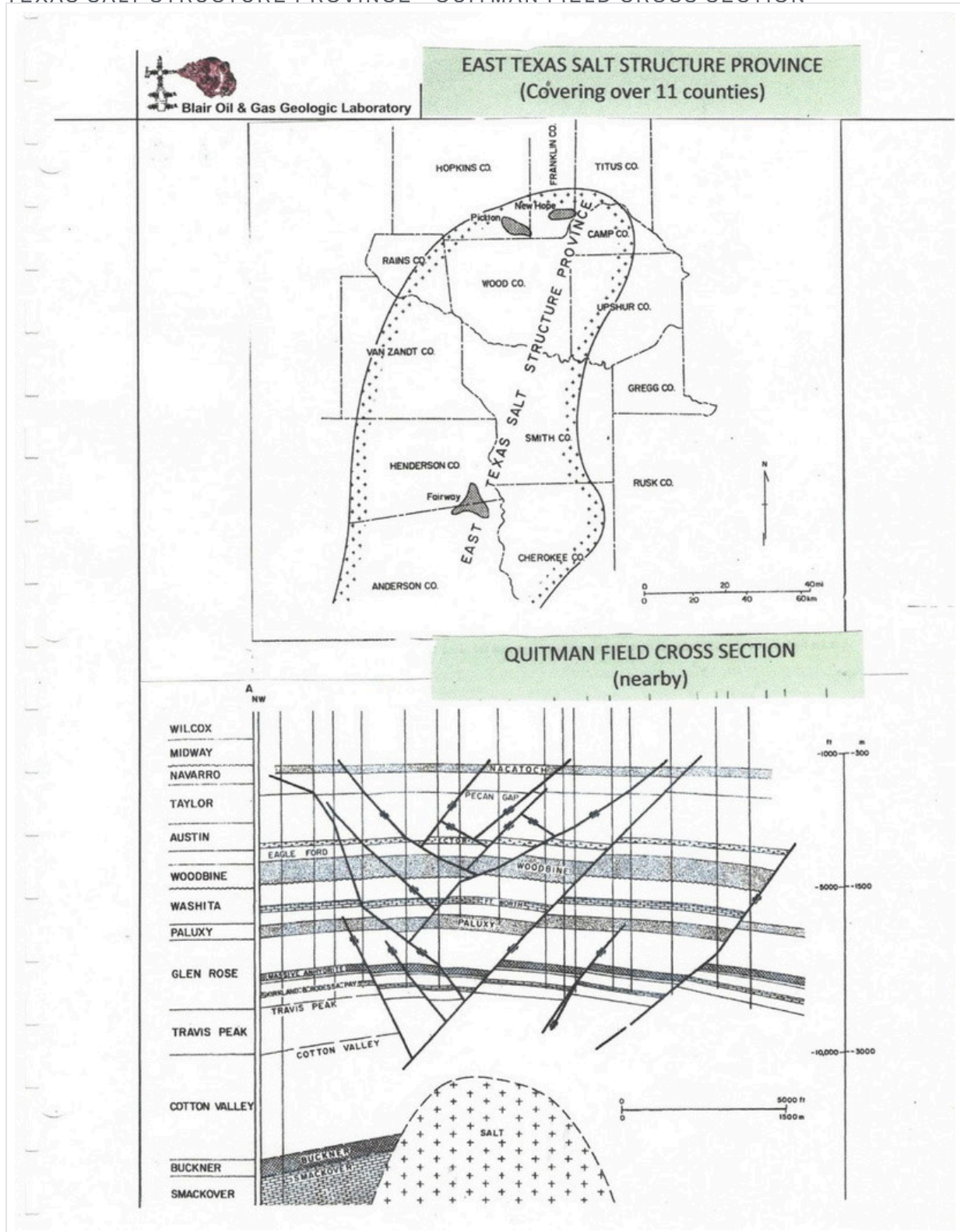
Simplified geologic age relations of the principal oil-producing stratigraphic units of the Gulf Coast and East Texas Basins. From Galloway and others (1983).

GEOLOGY

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STRUCTURE

EAST TEXAS SALT STRUCTURE PROVINCE · QUITMAN FIELD CROSS SECTION

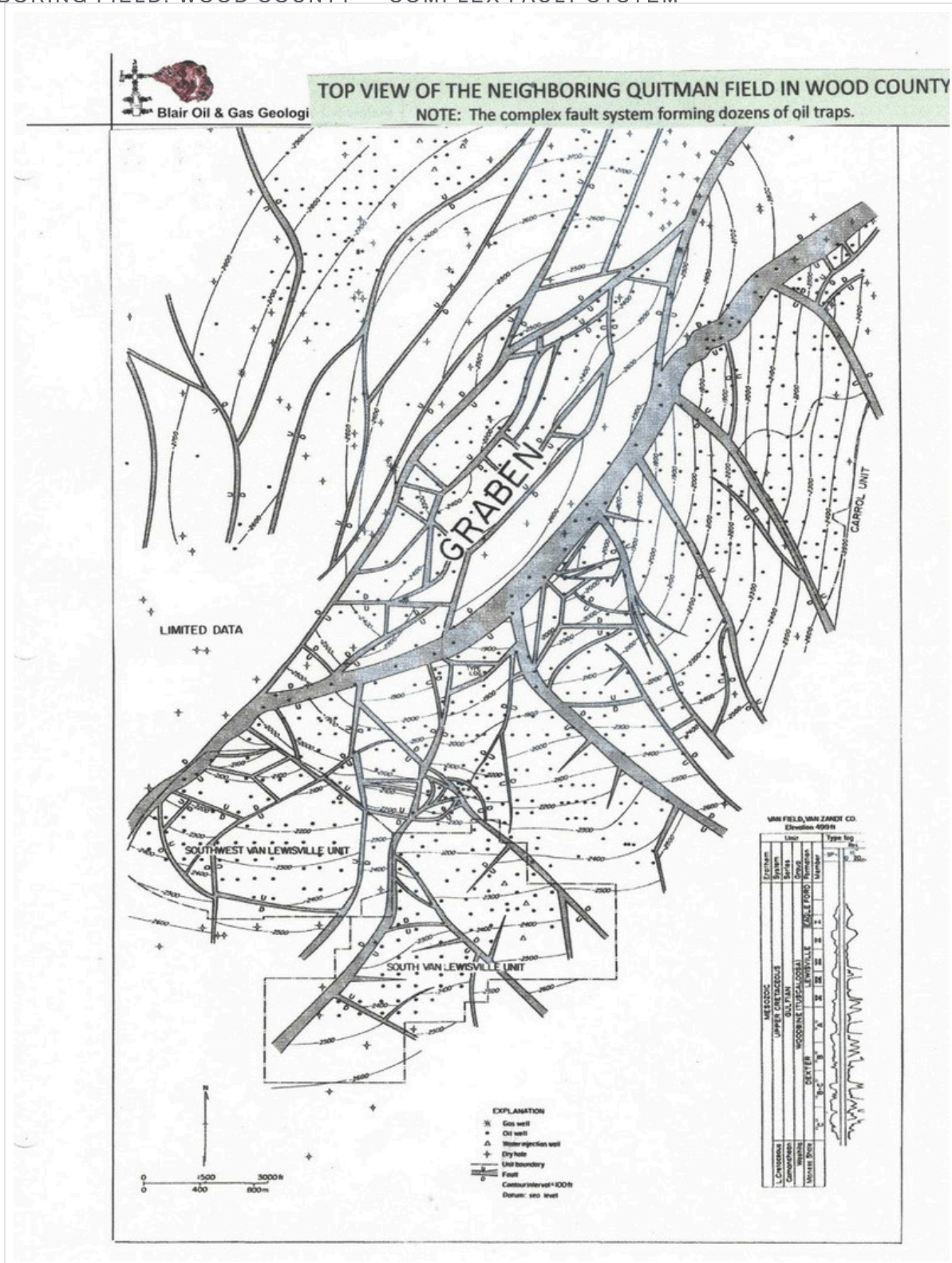


GEOLOGY

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QUITMAN FIELD

NEIGHBORING FIELD, WOOD COUNTY — COMPLEX FAULT SYSTEM

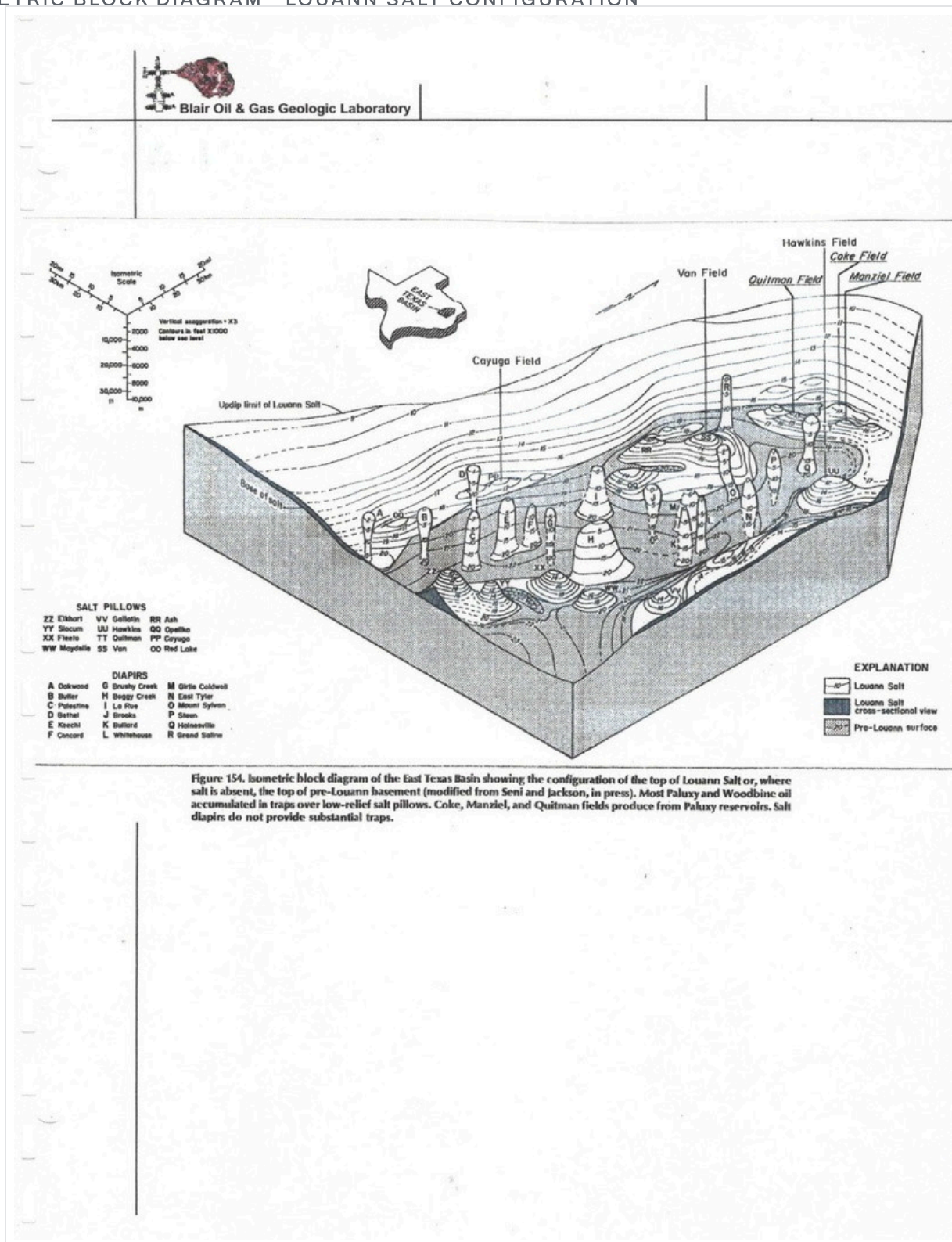


GEOLOGY

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EAST TEXAS BASIN

ISOMETRIC BLOCK DIAGRAM · LOUANN SALT CONFIGURATION

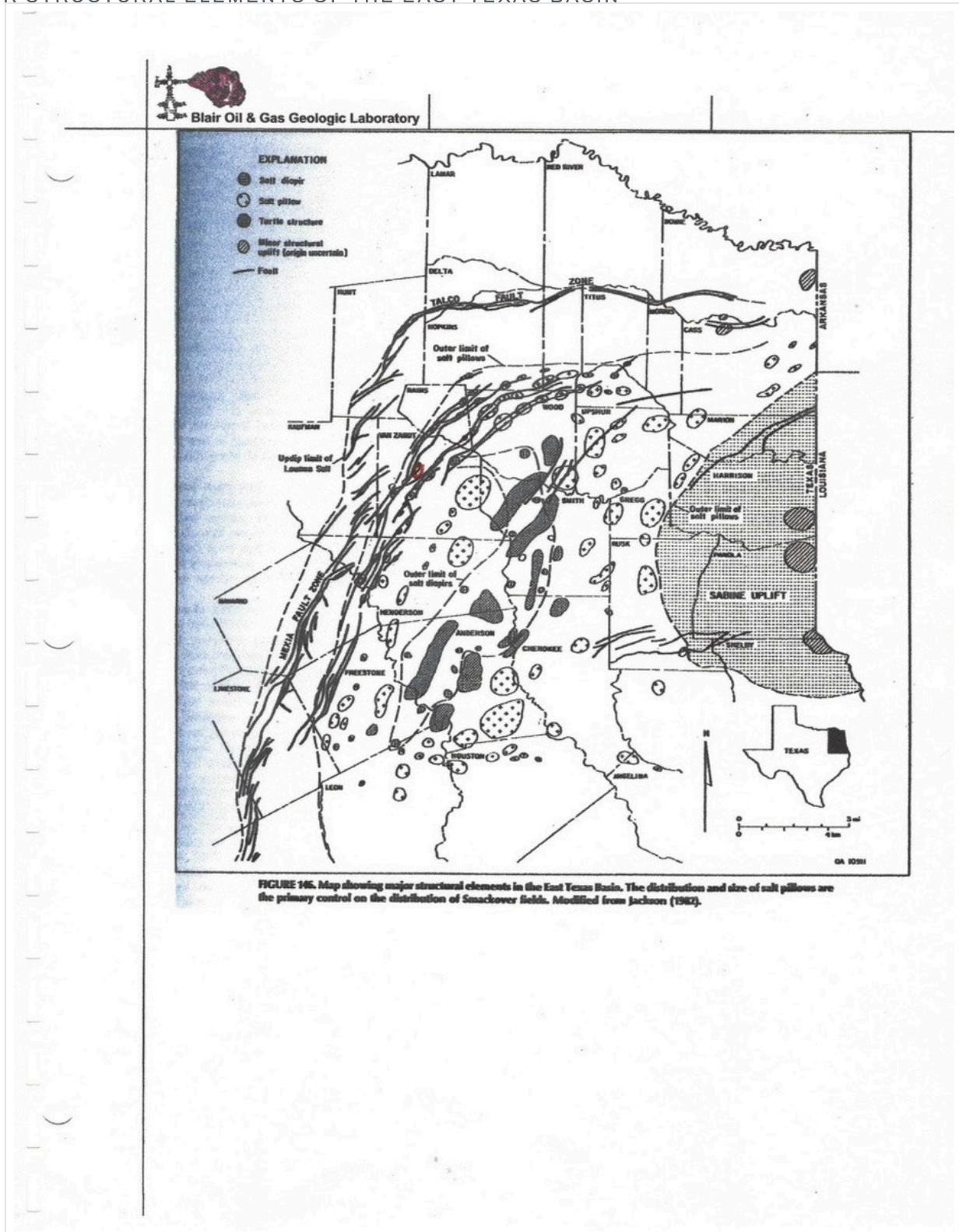


GEOLOGY

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STRUCTURAL ELEMENTS

MAJOR STRUCTURAL ELEMENTS OF THE EAST TEXAS BASIN

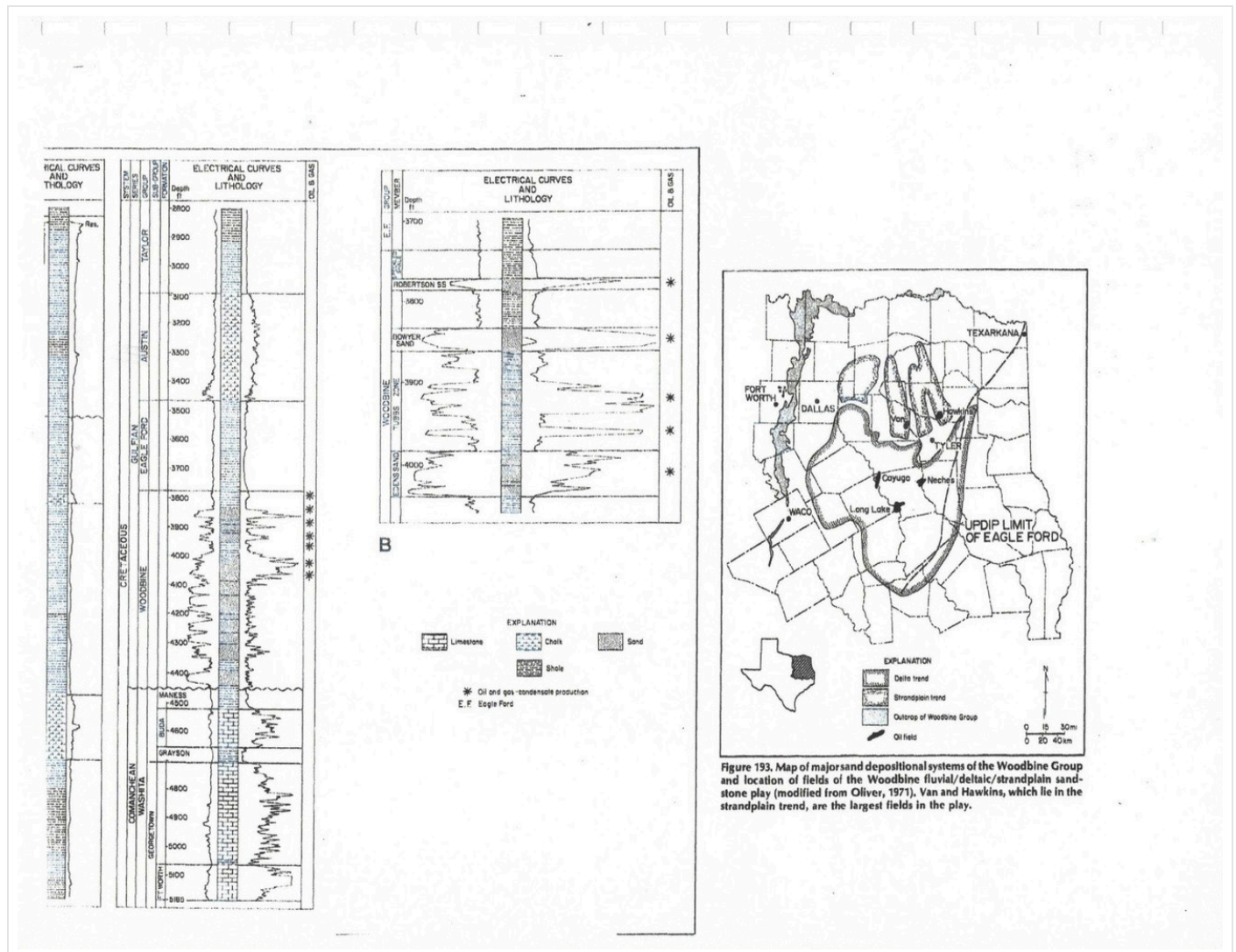


GEOLOGY

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ELECTRICAL CURVES

ELECTRICAL CURVES & LITHOLOGY



GEOLOGY

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STRATIGRAPHIC CROSS SECTION

KAUFMAN & VAN ZANDT COUNTIES

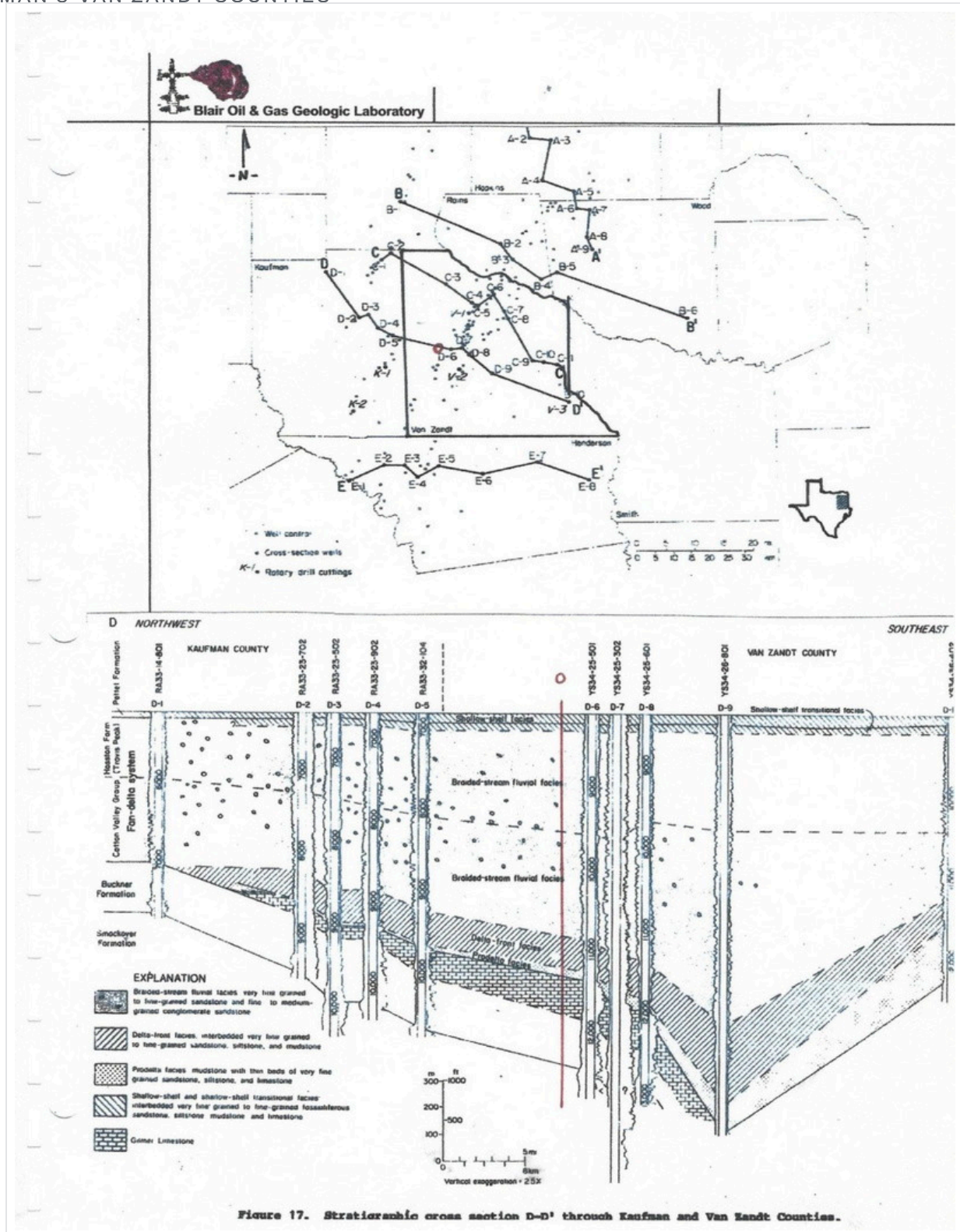
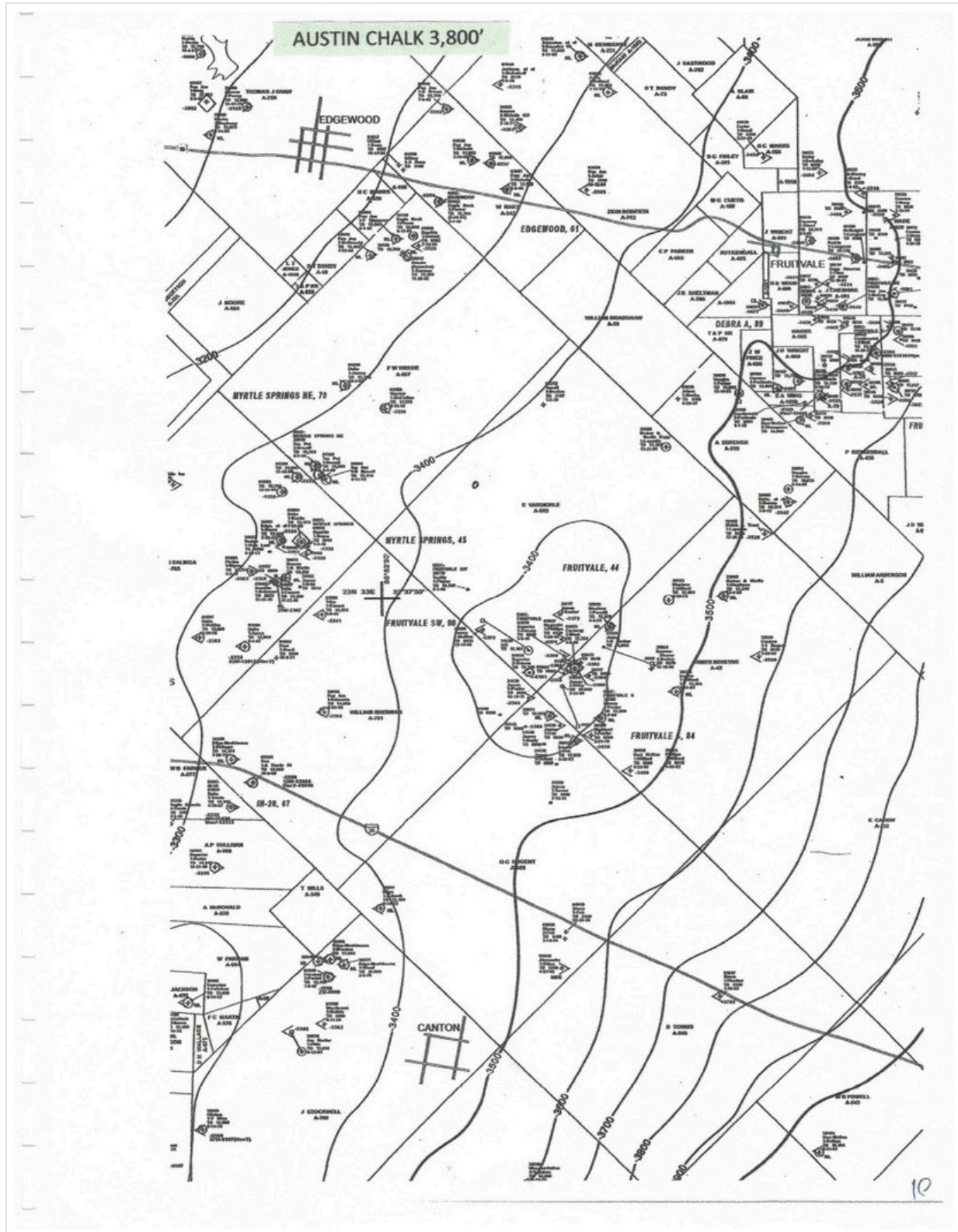


Figure 17. Stratigraphic cross section D-D' through Kaufman and Van Zandt Counties.

FORMATIONS

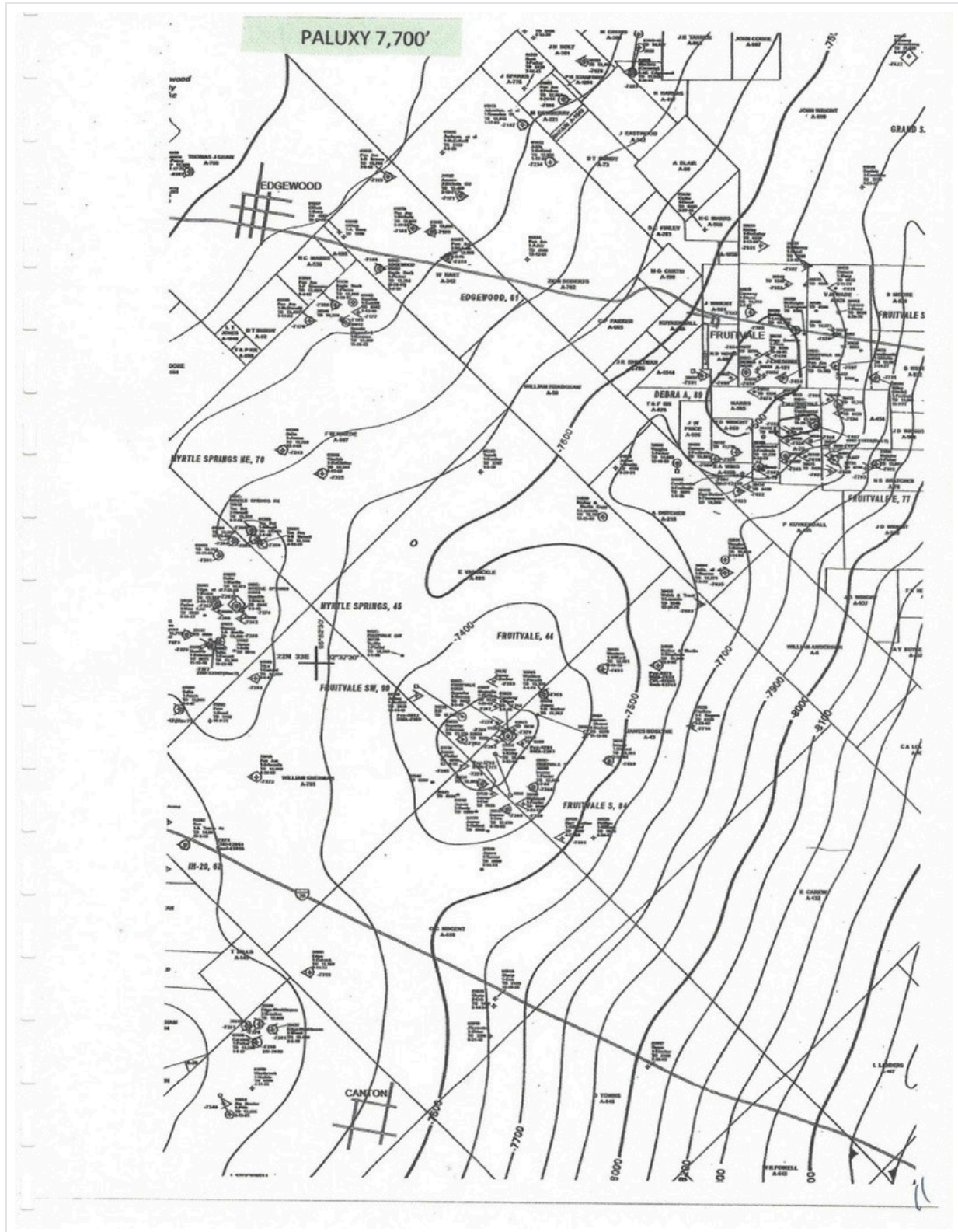
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AUSTIN CHALK 3,800'



FORMATIONS

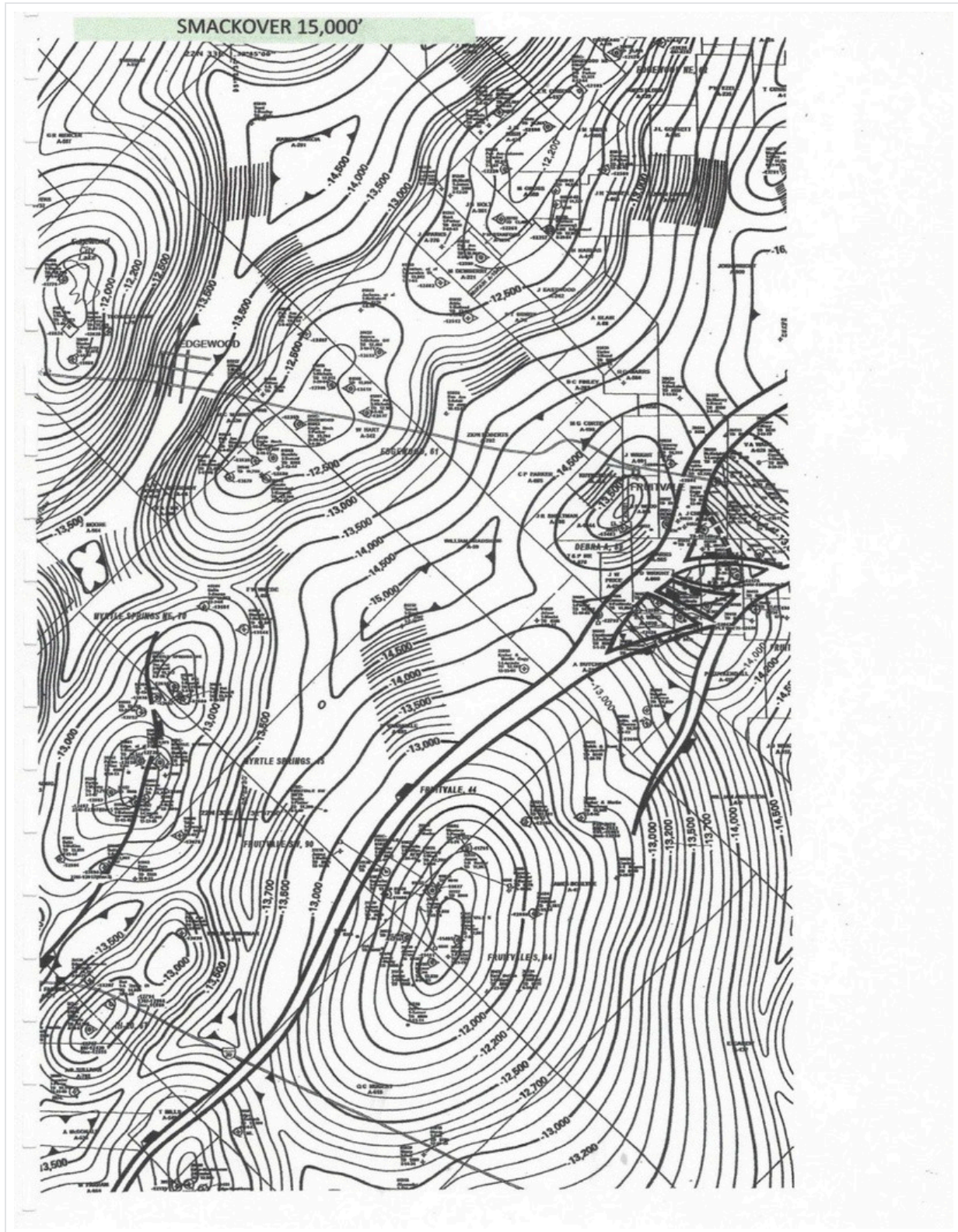
PALUXY 7,700'



FORMATIONS

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SMACKOVER 15,000'

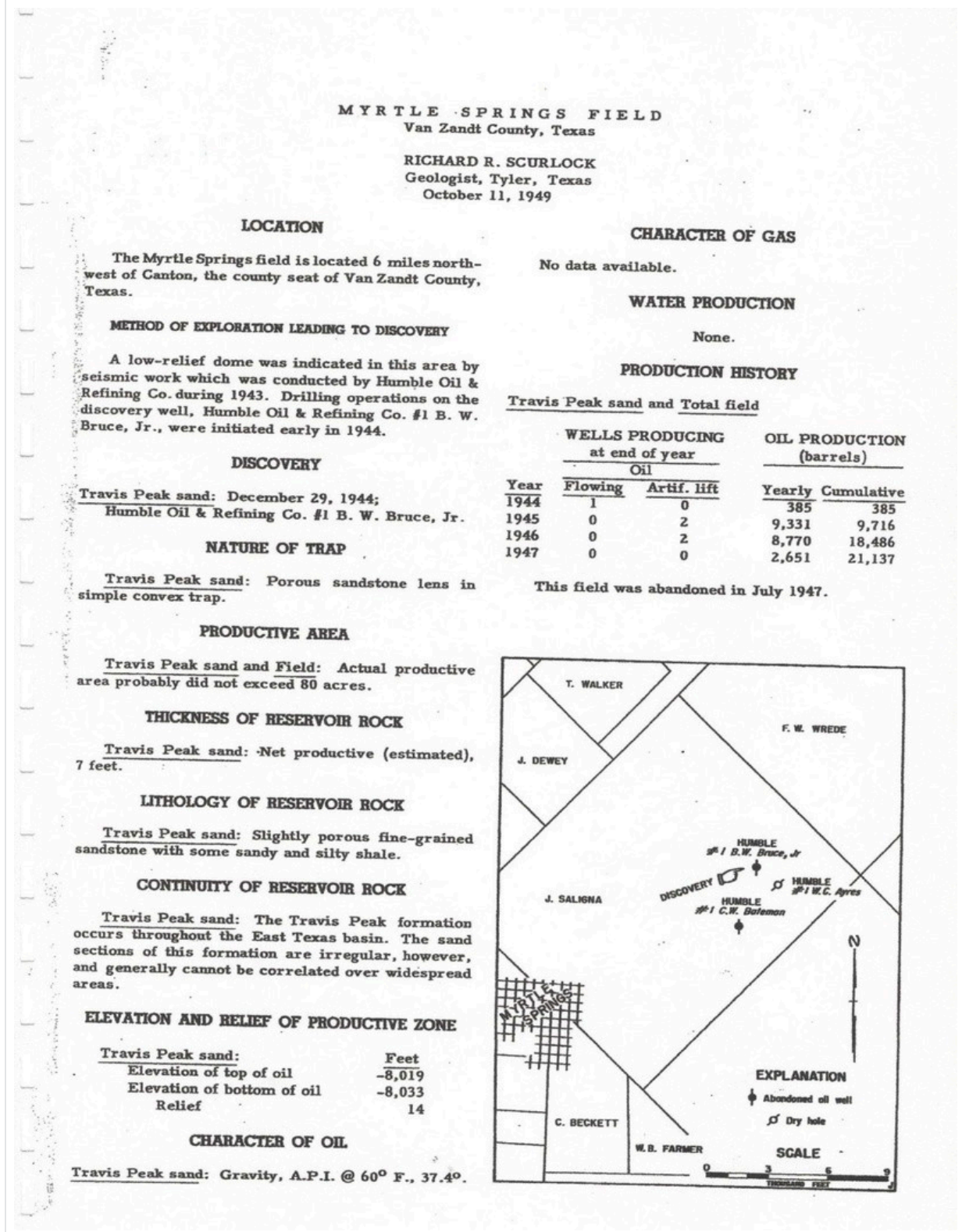


FORMATIONS

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MYRTLE SPRINGS FIELD

VAN ZANDT COUNTY, TEXAS

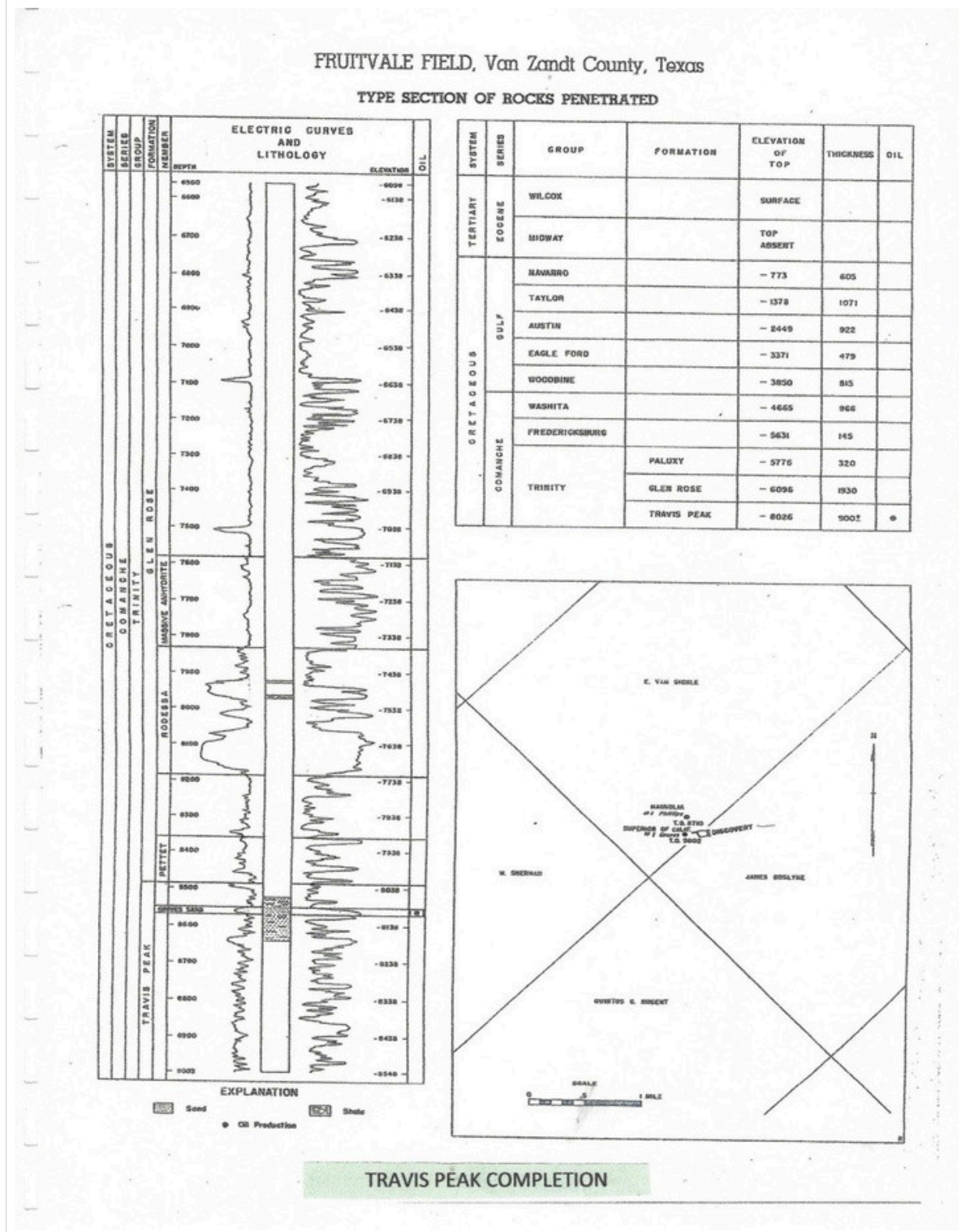


FORMATIONS

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TRAVIS PEAK COMPLETION

FRUITVALE FIELD, VAN ZANDT COUNTY, TEXAS

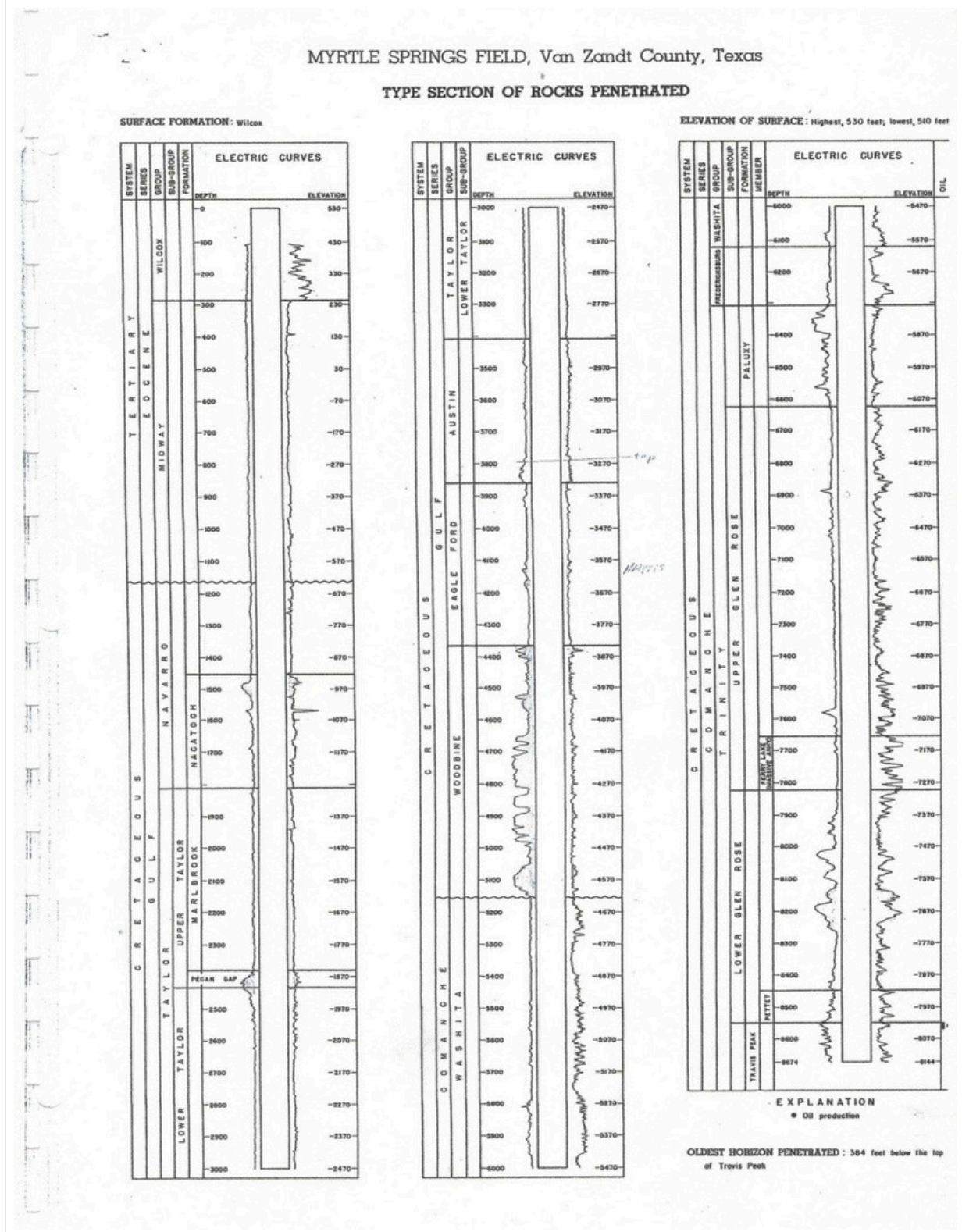


FORMATIONS

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MYRTLE SPRINGS FIELD – TYPE SECTION

VAN ZANDT COUNTY, TEXAS



PERMIT

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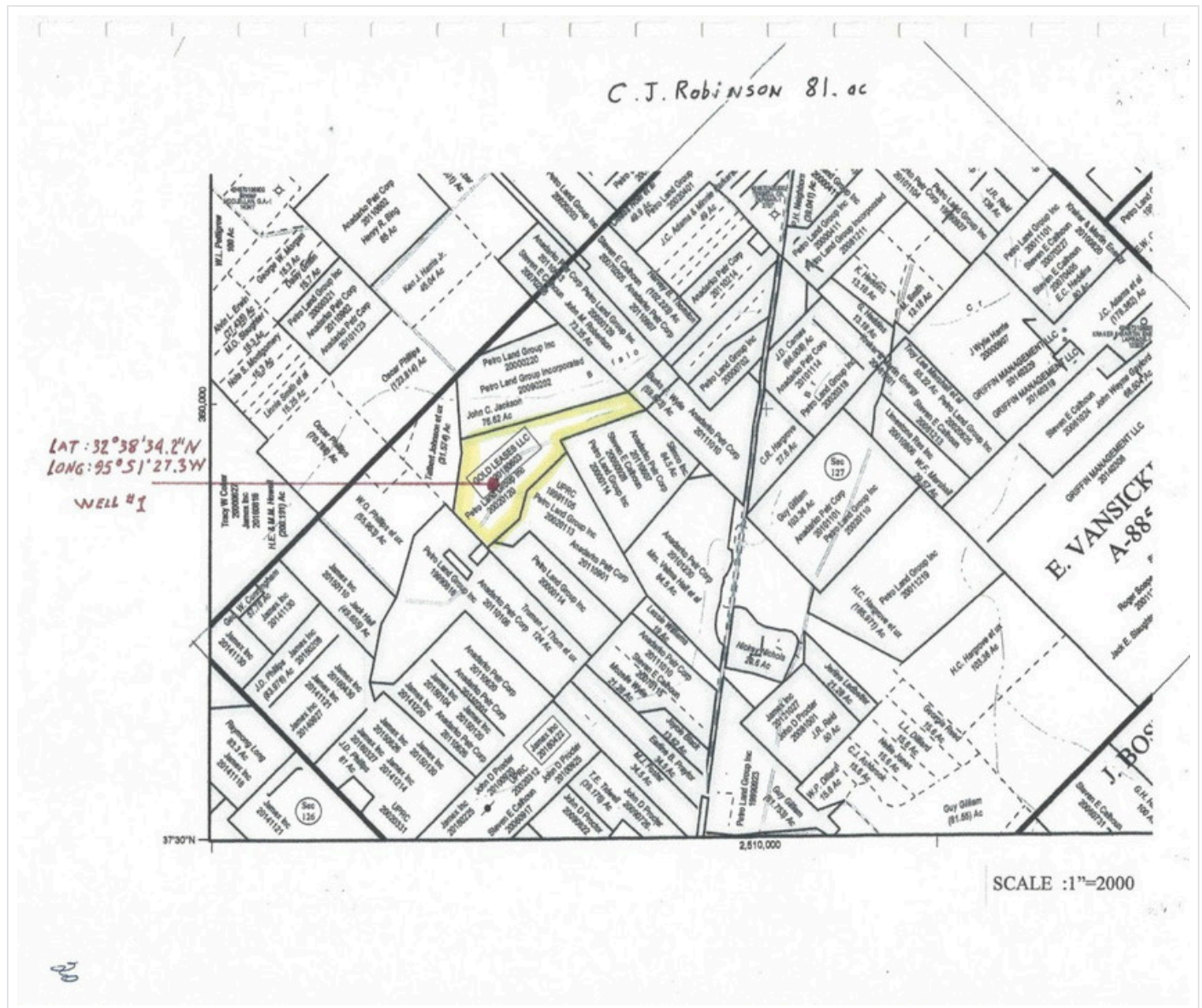
RRC MAP – WELL SITE

VAN ZANDT COUNTY, TEXAS



TOBIN OWNERSHIP MAP

C.J. ROBINSON · 81 ACRES



PERMIT

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RRC PERMIT RECORDS

RAILROAD COMMISSION OF TEXAS ONLINE SYSTEM

Result #1	
API	46731168
GIS WELL NUMBER	1
GIS SYMBOL DESCRIPTION	Permitted Location
GIS LOCATION SOURCE	Coordinates - Operator reported
GIS LAT (NAD27)	32.641230
GIS LONG (NAD27)	-95.859229
GIS LAT (NAD83)	32.641361
GIS LONG (NAD83)	-95.859472

OPERATOR/WELLBORE	
WELLBORE STATUS	LOCATION
LAST PERMIT ISSUED	810881
LAST PERMIT OPERATOR NUMBER	278758
LAST PERMIT OPERATOR	FORTUNE ROYALTY EXPLORATION LLC
LAST PERMIT LEASE NAME	ROBINSON
TOTAL DEPTH	
SURFACE LOCATION	Land
ABSTRACT	885
SURVEY	VANSICKLE, E
BLOCK	
SECTION	
DISTANCE 1	5325
DIRECTION 1	SW
DISTANCE 2	1890
DIRECTION 2	NW

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DISTANCE 2	1890
DIRECTION 2	NW

ONLINE SYSTEM											
Form W-1: Review											
Status # 810881	OP # 278758	FORTUNE ROYALTY EXPLORATION LLC				ROBINSON - Well # 1	New Dr				
API # 467-31168	Approved	Issued: 11/10/2015, Filed: Hardcopy				05 - VAN ZANDT County	Vertical				
Problems identified with this permit are (11/10/2015 02:38:35 PM)											
Status:											
Back to Public Query Search Results											
View Current W-1 View Current Permit View SWR 1.3 Formations											
General / Location Information											
Basic Information:											
Filing Purpose	Wellbore Profile	Lease Name	Well #	SWR	Total Depth	Horizontal Wellbore	Stacked Lateral Status #				
New Drill	Vertical	ROBINSON	1		8900						
Surface Location Information:											
API #	Distance from Nearest Town	Direction from Nearest Town	Nearest Town	Surface Location Type							
467-31168	5.0 miles	N	Canton	Land							
GPS Coordinates - Datum: NAD 83											
Latitude Degrees: 32 Latitude Minutes: 38 Latitude Seconds: 28.90											
Longitude Degrees: -95 Longitude Minutes: 51 Longitude Seconds: 34.10											
Survey / Legal Location Information:											
Section	Block	Survey	Abstract #	County							
		VANSICKLE, E	885	VAN ZANDT							
Township	League	Labor	Perchon	Share	Tract	Lot					
Perpendicular surface location from two nearest designated reference lines:											
Perpendiculars	Distance	Direction	Distance	Direction							
Survey Lines	5325.0 feet	from the SW line and	1890.0 feet	from the NW line							
Permit Restrictions:											
Code	Description										
29	This well must comply to the new SWR 3.13 requirements concerning the isolation of any potential flow zones and zones with corrosive formation fluids. See approved permit for those formations that have been identified for the county in which you are drilling the well in.										
Fields											
District	Field Name	Field #	Completion Depth	Lease Name	Well #	Well Type	Acres	Distance to nearest well	Distance to nearest Lease Line	SWR	Pooled/Unitized
05	FRUITVALE										
	Primary Field	33139001	8550	ROBINSON	1	Oil Well	81.0		494.0		N
Perpendiculars											
Surface Lease Lines		Distance	Direction	Distance	Direction						
		636.0 feet	from the SW line and	755.0 feet	from the SE line						
Comments											
Log In											
ch for W-1s											
Search W-1 Results											
Found for: 1 - 1 of 1 results											
No. 467-31168											
as lease name for detailed permit information											
Issued	Station #	API No.	Operator Name/Number	Lease Name	Well #	Dist. County	Wellbore Profile	Filing Purpose	Amend	Total Depth	Current Status
Issued 6/2015	810881	467-31168	FORTUNE ROYALTY EXPLORATION LLC (278758)	ROBINSON	1	05 VAN ZANDT	Vertical	New Drill		8900	Approved
Issued 7/2015											
Attachments											
Attachment Type		File Path		Associated Fields and/or Plats							
HardCopy W-1		revised w-1.tif		FRUITVALE							
PLAT #1(Paper Size : LGL)		revised plat.tif		FRUITVALE							
Permit Problem Letter		problem_letter_10-9-2015.pdf		FRUITVALE							
PLAT #2(Paper Size : LTR)		Unit Plat.tif		FRUITVALE							
As Approved W-1		AsApprovedW1-11-10-2015.pdf									
As Approved Permit		AsApprovedPermit-11-10-2015.pdf									

MULTIPLE STACKED PROVEN PRODUCTION

VAN ZANDT COUNTY · EAST TEXAS SALT STRUCTURE PROVINCE

The East Texas salt structure province covers over eleven (11) counties, which includes Van Zandt County. There are approximately seventeen (17) oil and gas bearing formations in Van Zandt County, which include: Nacatoch, Taylor, Pecan Gap, Austin, Eagle Ford, Woodbine, Buda, Grayson, Georgetown, Fredericksburg, Paluxy, Glen Rose, Rodessa, Pettet, Travis Peak, Cotton Valley and Smackover.

Any of these formations could be a potential trap for accumulating migrating oil and gas. As illustrated in the nearby Quitman Field, where close drilling occurred, main and secondary faults can be accurately defined. In this proposed Robinson #1 well, the lack of well control (number of wells) prevents such close control or mapping of these faults and structures.

There are four (4) fields surrounding the Robinson #1: the Myrtle Springs Field, Edgewood Field, Fruitvale East Field and the Fruitvale Field. The Robinson #1 is considered an extension of the Fruitvale Field. Faults that are created by the upward migration of the Louann salt bed have cut through some, if not all, of the formations above this salt and have created these four (4) surrounding fields as oil and gas became trapped and accumulated. All of the salt domes in the East Texas salt structure province have created dozens of fields throughout the province and these domes push upward in their migration toward the surface. The probability of undiscovered trapped oil and gas within any of these seventeen (17) plus formations is high due to this “under drilling” of the Robinson lease.

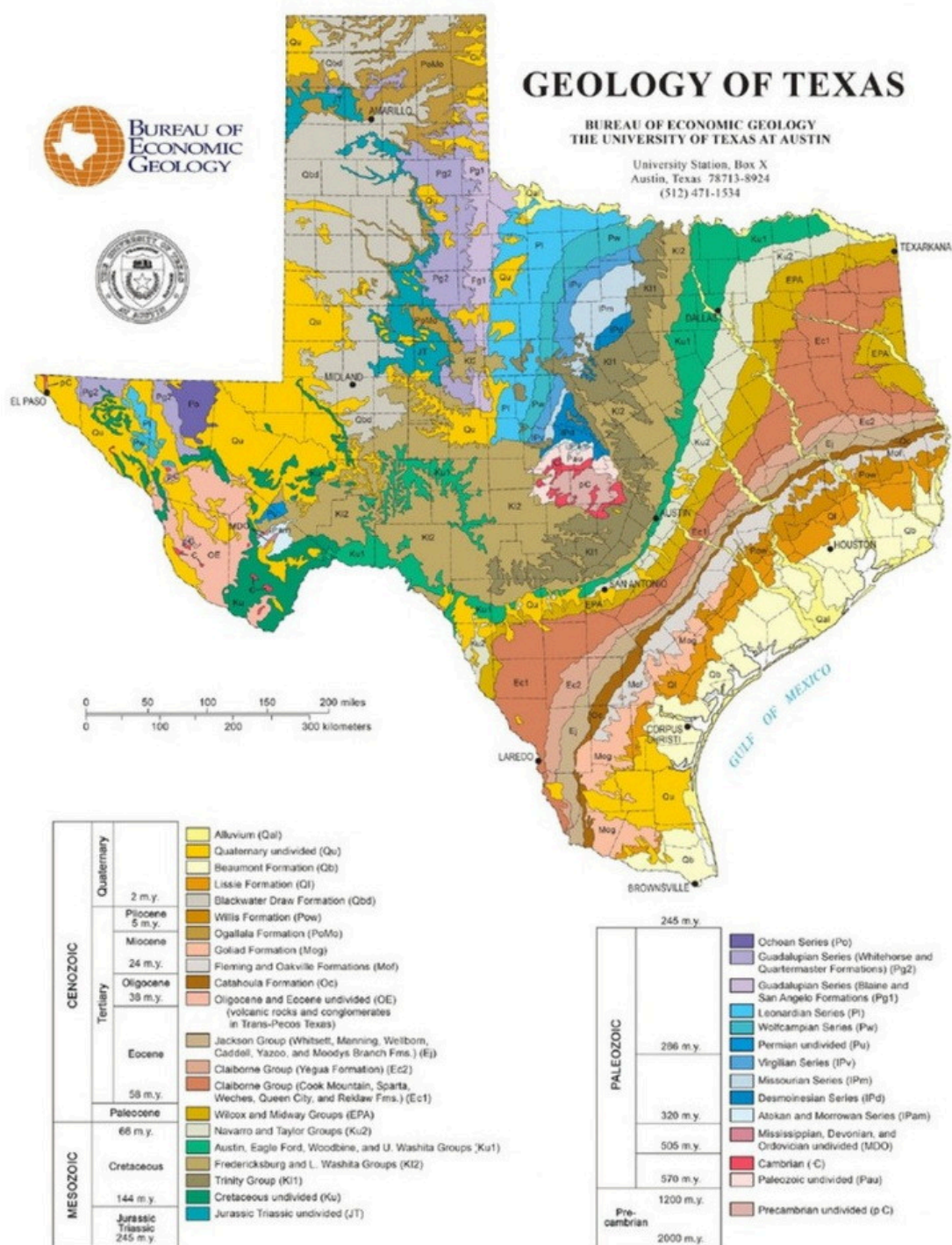
This area is termed a “stacked” field with potential production in many, if not all, of the shallower formations. No one (1) formation makes up these four (4) fields; however, the Smackover formation is the formation that is sustained, and high production is the common factor throughout.

REFERENCE

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GEOLOGY OF TEXAS

BUREAU OF ECONOMIC GEOLOGY · THE UNIVERSITY OF TEXAS AT AUSTIN



FINANCIAL

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FINANCIAL PROJECTION

POTENTIAL MONTHLY RETURN ON 1% · \$65 / \$75 / \$85 OIL PRICE SCENARIOS

Total Production One Well	Days	Price	Potential Gross Monthly Revenue	NRI%	Potential Montly Return on 1%	Months to Pay out for \$45,000
400 BOPD	30	\$65.00	780,000		Gross	\$ 8,213
3000 MCFD	30	\$3.50	315,000		(Tax)	\$ 616
			1,095,000	75.00%	(OP EXP)	\$ 25
					\$ 7,572	5.94
200 BOPD	30	\$65.00	390,000		Gross	\$ 4,500
2000 MCFD	30	\$3.50	210,000		(Tax)	\$ 338
			600,000	75.00%	(OP EXP)	\$ 25
					\$ 4,138	10.88
100 BOPD	30	\$65.00	195,000		Gross	\$ 2,250
1000 MCFD	30	\$3.50	105,000		(Tax)	\$ 169
			300,000	75.00%	(OP EXP)	\$ 25
					\$ 2,056	21.88

Total Production One Well	Days	Price	Potential Gross Monthly Revenue	NRI%	Potential Montly Return on 1%	Months to Pay out for \$45,000
400 BOPD	30	\$75.00	900,000		Gross	\$ 9,113
3000 MCFD	30	\$3.50	315,000		(Tax)	\$ 683
			1,215,000	75.00%	(OP EXP)	\$ 25
					\$ 8,404	5.35
200 BOPD	30	\$75.00	450,000		Gross	\$ 4,950
2000 MCFD	30	\$3.50	210,000		(Tax)	\$ 371
			660,000	75.00%	(OP EXP)	\$ 25
					\$ 4,554	9.88
100 BOPD	30	\$75.00	225,000		Gross	\$ 2,475
1000 MCFD	30	\$3.50	105,000		(Tax)	\$ 186
			330,000	75.00%	(OP EXP)	\$ 25
					\$ 2,264	19.87

Total Production One Well	Days	Price	Potential Gross Monthly Revenue	NRI%	Potential Montly Return on 1%	Months to Pay out for \$45,000
400 BOPD	30	\$85.00	1,020,000		Gross	\$ 10,013
3000 MCFD	30	\$3.50	315,000		(Tax)	\$ 751
			1,335,000	75.00%	(OP EXP)	\$ 25
					\$ 9,237	4.87
200 BOPD	30	\$85.00	510,000		Gross	\$ 5,400
2000 MCFD	30	\$3.50	210,000		(Tax)	\$ 405
			720,000	75.00%	(OP EXP)	\$ 25
					\$ 4,970	9.05
100 BOPD	30	\$85.00	255,000		Gross	\$ 2,700
1000 MCFD	30	\$3.50	105,000		(Tax)	\$ 203
			360,000	75.00%	(OP EXP)	\$ 25
					\$ 2,473	18.20



CONTACT INFORMATION

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www.feroxoil.com

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